

Generative AI's Act Two: From Technology Hammer to Realization

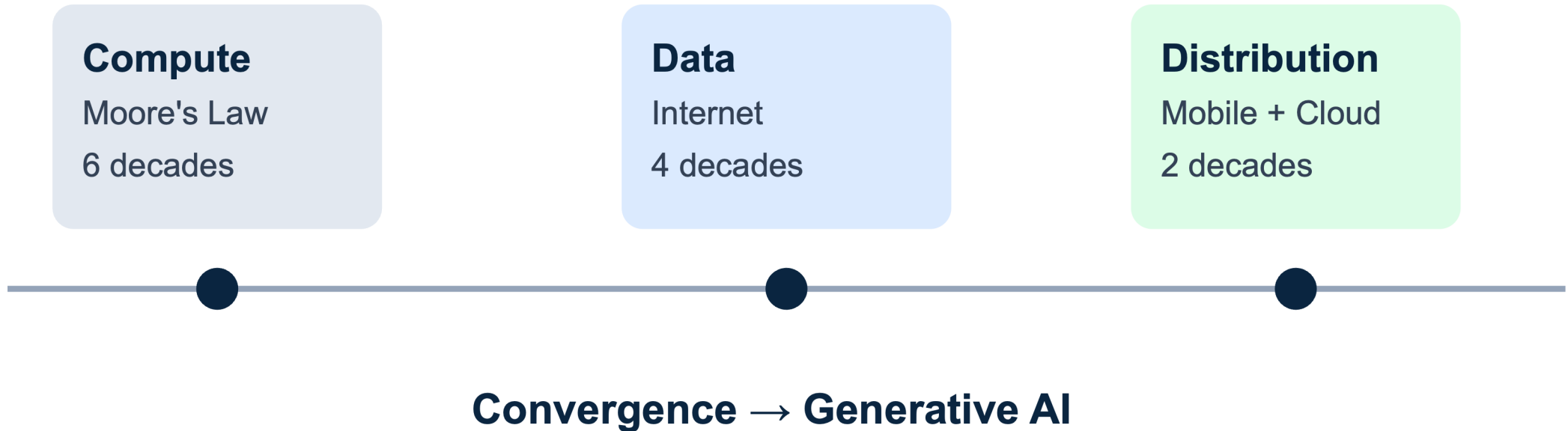


A data-forward analysis for investors and founders

Sequoia Capital

September 2023

Six Decades of Technological Progress Converged to Enable Ge



Three compounding technology waves created today's GenAI inflection point.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever

>\$1B

startup revenue reached in months, not years

ChatGPT

Fastest-growing app

Midjourney

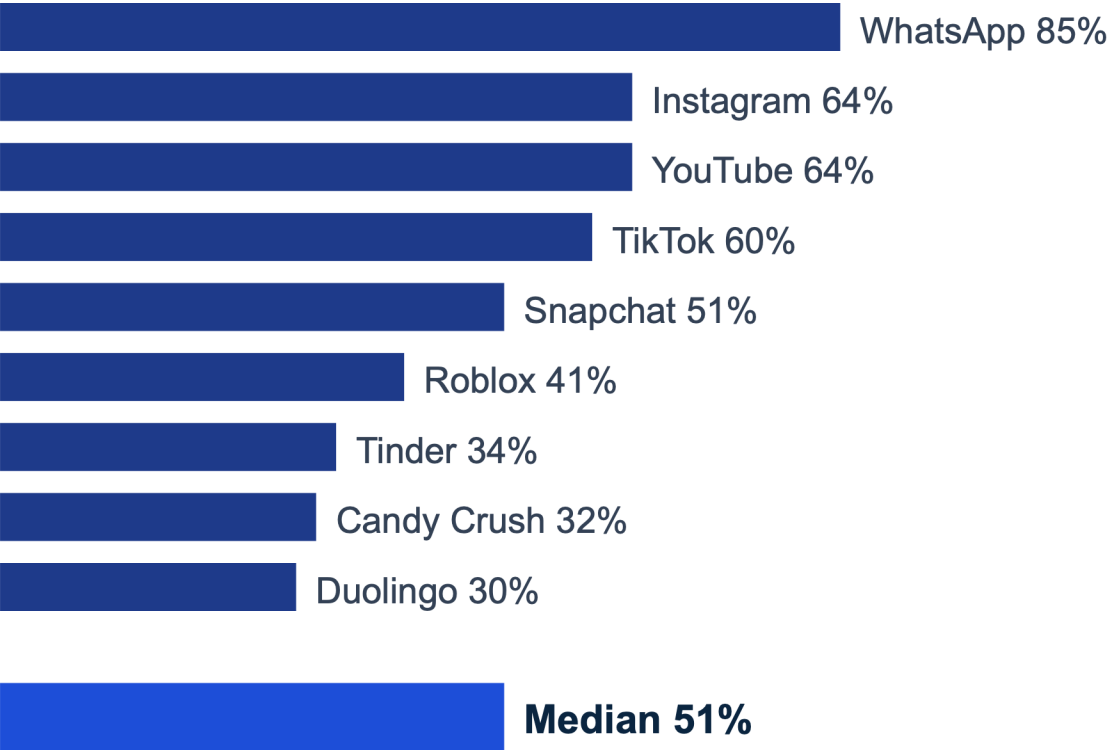
Hundreds of millions in revenue
with 11 employees

Character.ai

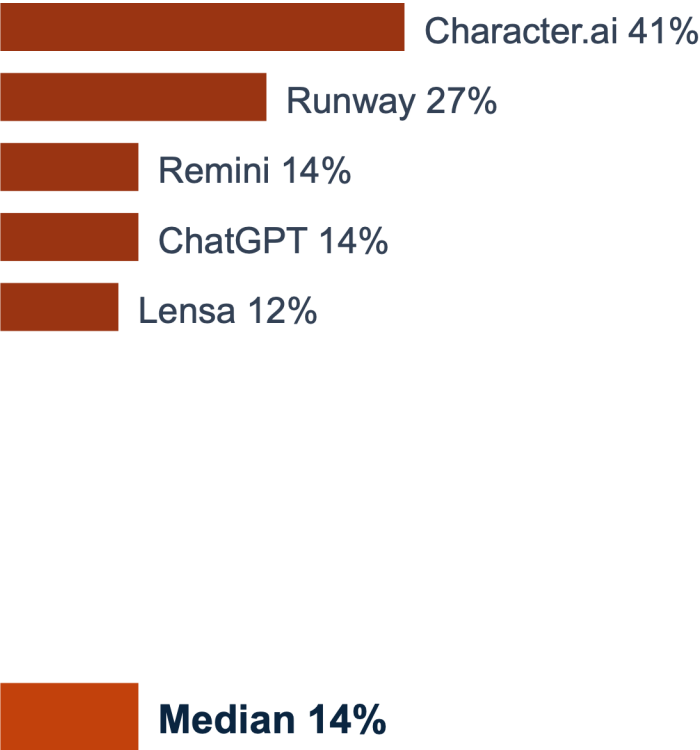
2-hour average
session time

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

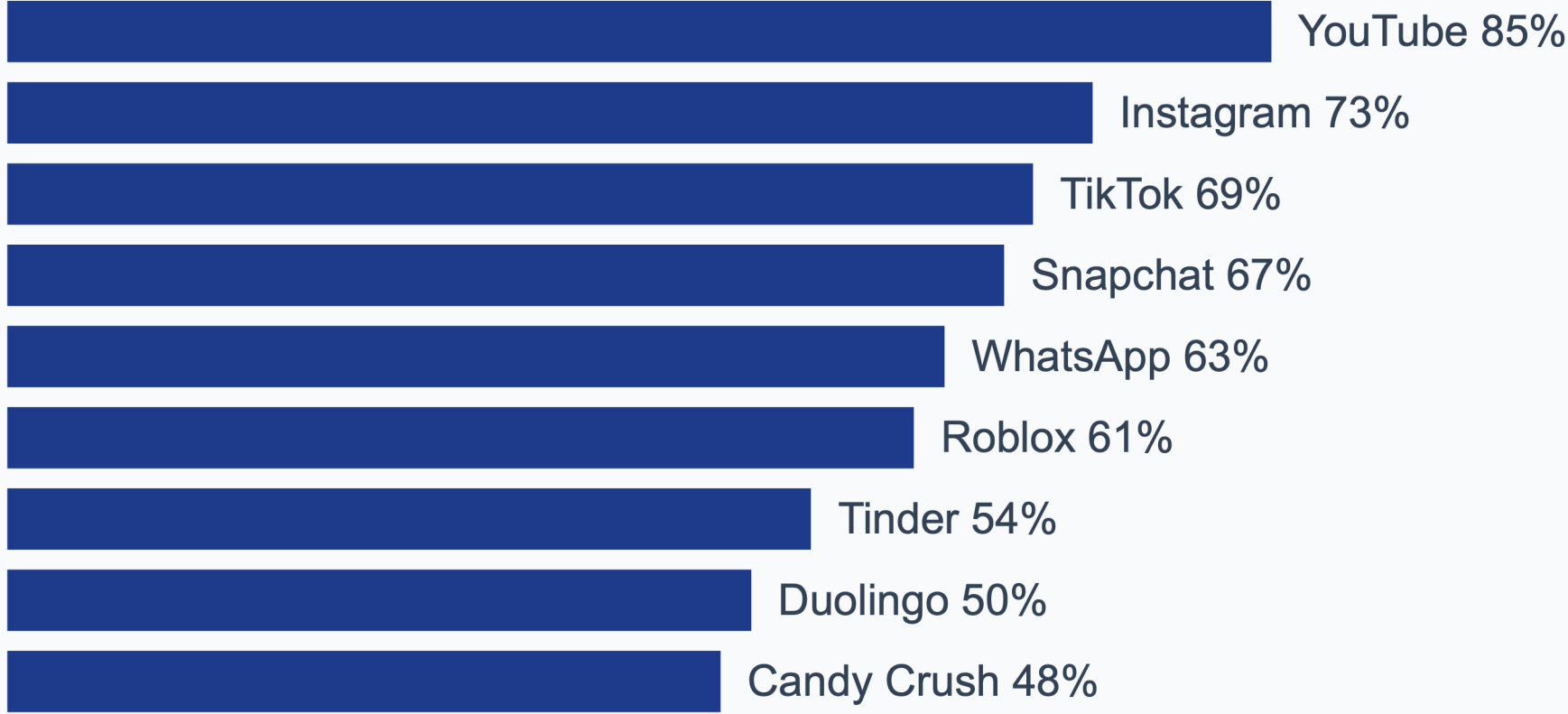
Incumbents



AI-First



YouTube Leads Incumbents at 85% Monthly Active Usage



Median 63%

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1

- Foundation model = whole product
- Technology-out, demo-first
- Lightweight wrappers
- Novelty-driven adoption
- Weak retention (median 14%)

Act 2

- Foundation model = one component
- Customer-back problem design
- New editing interfaces
- Multi-modal workflows
- End-to-end solution ownership

Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

Old Map (Act 1)

Organized by model modality:

- Text
- Image
- Code

Technology-first taxonomy



New Map (Act 2)

Organized by use case:

- Legal workflows (Harvey)
- Enterprise search (Glean)
- Companionship (Character, Ava)

Value-delivery taxonomy

Key Takeaways: What Separates Winners in Act Two

1) Retention is the decisive metric

AI-first median retention is 14% vs. 51% for incumbents.

2) Foundation models are necessary, not sufficient

Winning products treat models as components in broader solutions.

3) Multi-modal workflow integration is the edge

Act 2 leaders solve full tasks, not isolated prompts.

4) >\$1B revenue validates real demand

Commercial pull is proven even amid hype-cycle volatility.